



Kenya Airways PLC Half Year 2023 Investor Briefing

"The Green shoots of the restructuring process"

Agenda

1. **Introduction of session**
2. **Industry Overview**
3. **Business Updates**
4. **Financial Highlights**
5. **Future Outlook**
6. **Q&A**





Opening Remarks

Mr. Michael Joseph
Chairman





Industry Overview

Mr. Allan Kilavuka
Group MD & CEO



Global Aviation Performance HY23



Global Available Seat
Kilometers (ASK)

36.1%



African carriers
passenger traffic
growth

34.7%



Passenger Traffic
growth

31.0%



Global Passenger
Load-Factor (PLF)

84.2%



Global Air
Cargo demand

3.4%



Source: IATA's Air Passenger Market Analysis, June 2023/ IATA air cargo market analysis june 2023



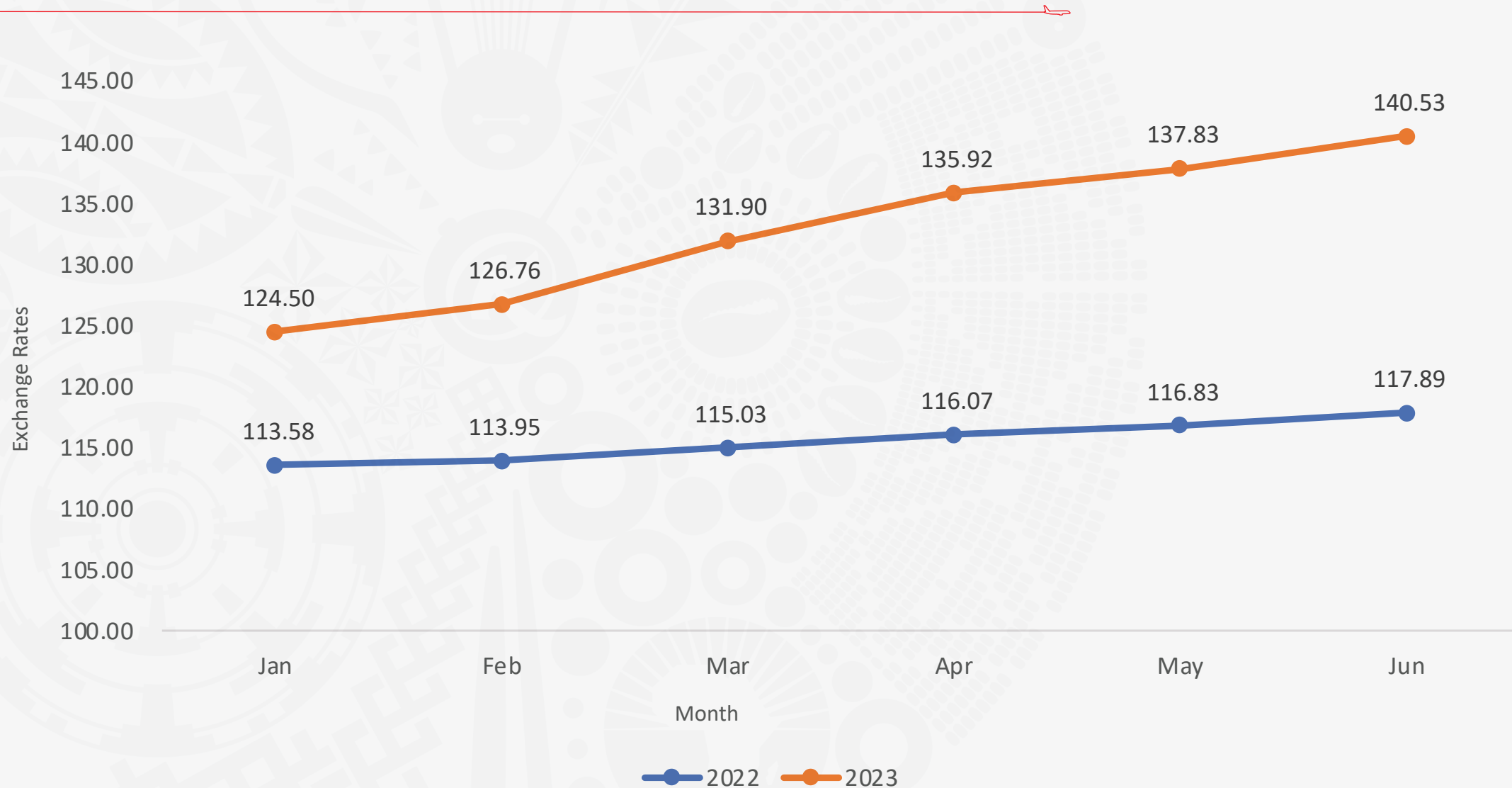
Jet Fuel & Crude Oil Price

Jet fuel price and crude oil price



Source: IATA Sustainability and Economics, Platts – S&P Global, Macrobond

USD: KES Exchange rates 2022 vs 2023



Business Updates

Network Updates



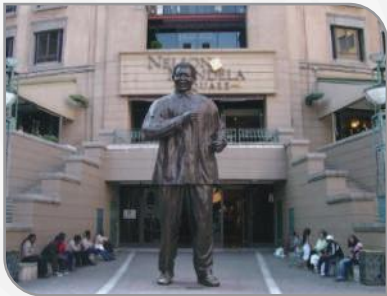
Mauritius
4 weekly to **Daily** from January



Addis Ababa - Ethiopia
4 weekly to **Daily** from March



London - UK
7 to **10 times** weekly from May



Johannesburg - South Africa
19 to **26 weekly** from June



New York - USA
5 weekly to **Daily** from June



Khartoum - Sudan **3 weekly**
Suspended in June

28%
Frequency
Increase

56%
Increase in
ASK's
(From 4.4bn to 6.9bn)



Airline Partnerships



Expanded Codeshare

Opened up more cities in US & Canada

Destinations:

- 31 in Africa
- 57 across the U.S. & Canada



Full codeshares

- Access to majority of both Network destinations



Interline Agreement

Destinations:

- 28 in Africa
- 23 to West and South Asia, the Far East, the Indian Ocean and Middle East



Interline Agreement

- Access to Eastern Europe, middle east & India



Interline Agreement

Destinations:

- 40 in Africa
- 36 in China
- 12 International

Sports Partnership



The Sustainable Flight Challenge



- **22** airlines participated
- **155** employees directly involved
- **2** long haul flights mounted **NBO-AMS-NBO**.
- First African airline to use **Sustainable Aviation Fuel (SAF)** for long haul flight to Europe.
- TSFC is about embedding speed and innovation in environmental sustainability practice in the airline industry through knowledge sharing.



Customer Experience Updates

Revamped KQ Website



Asante Rewards



Inflight Revamp



Inflight meals
Plating service for long-haul



Enhanced comfort in
business Class

Customer communications



Real time alerts

Operational Updates



4 new Ground Power Units (GPU)



Improved Aircraft Reliability & Availability

- Σ Signed long-term contract for Total Component Support



4 new electronic trucks (E-trucks)

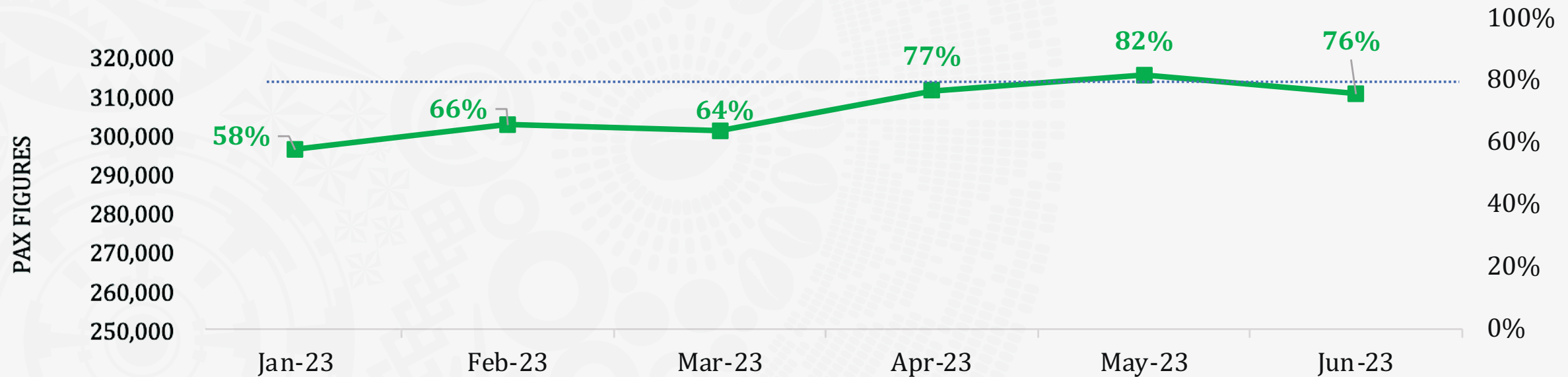


IATA CEIV Certification

- Pharma Transportation
- Warehousing

Improved On Time Performance (OTP)

OTP Target
80%



Average

From
58%

To
77%

Operational Highlights



+74%

Revenue Passenger
KM's (Mil's)

CY 5,237
PY 3,017



+43%

Passenger Numbers (Mil's)

CY 2.3
PY 1.6



+8 pts

Cabin Factor (%)

CY 76.1%
PY 68.4%



-22%

Cargo Volumes (Tonnes)

CY 27,100
PY 34,873



+32%

Block Hours

CY 71,930
PY 54,578



+56%

Turnover (Ksh Mil's)

CY 75,097
PY 48,104

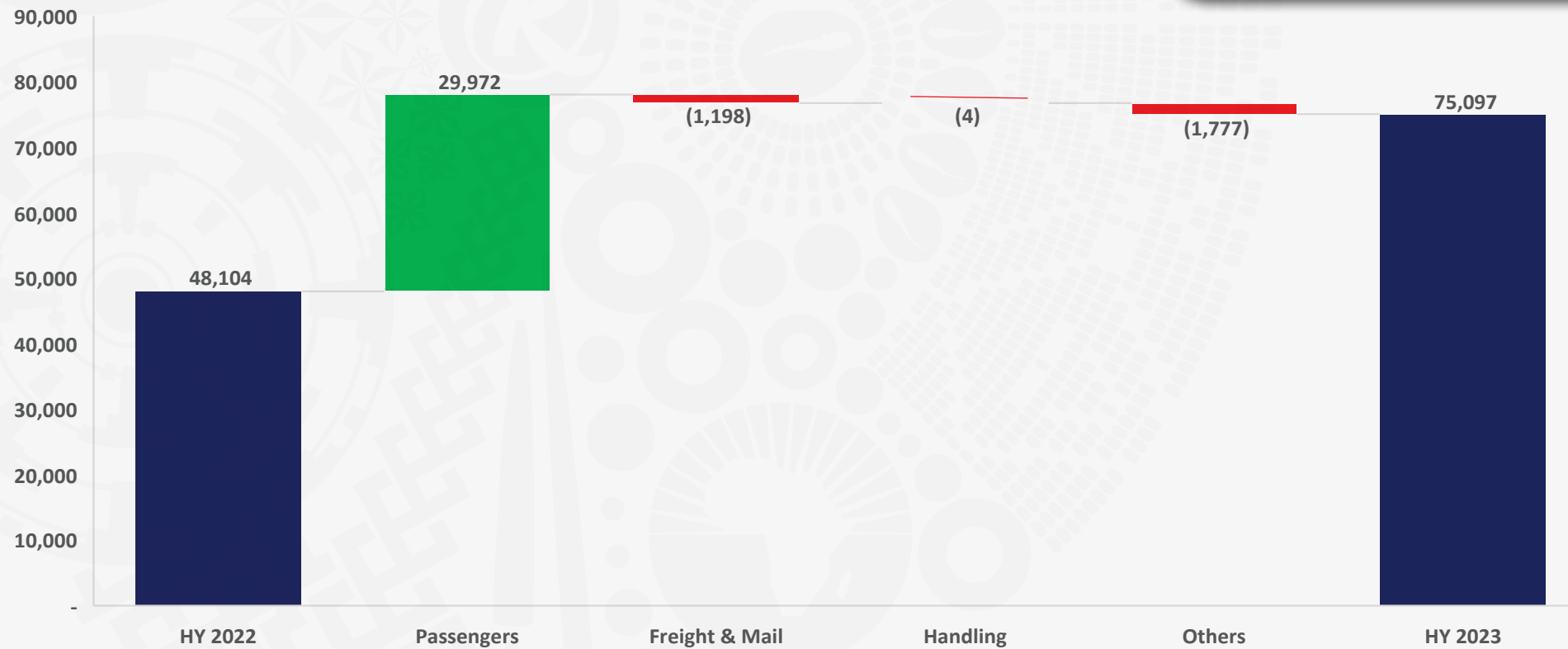
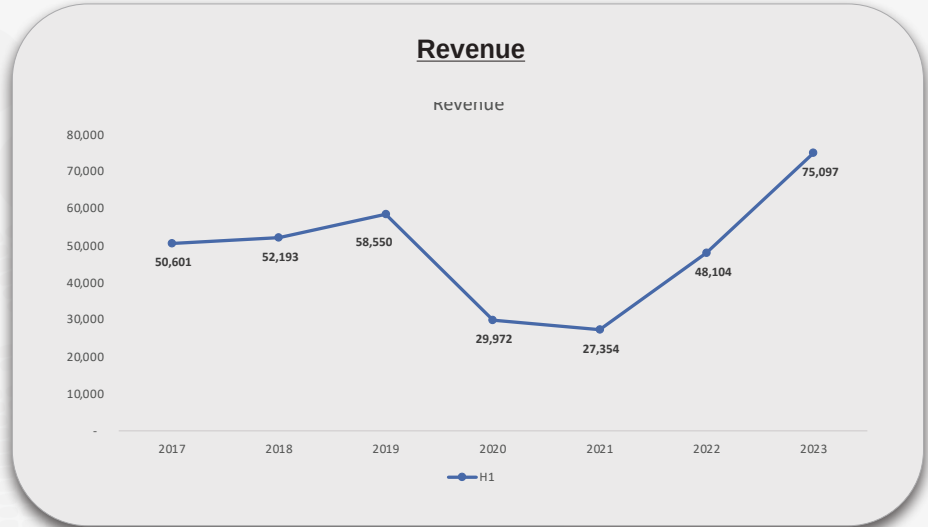


Financial Highlights

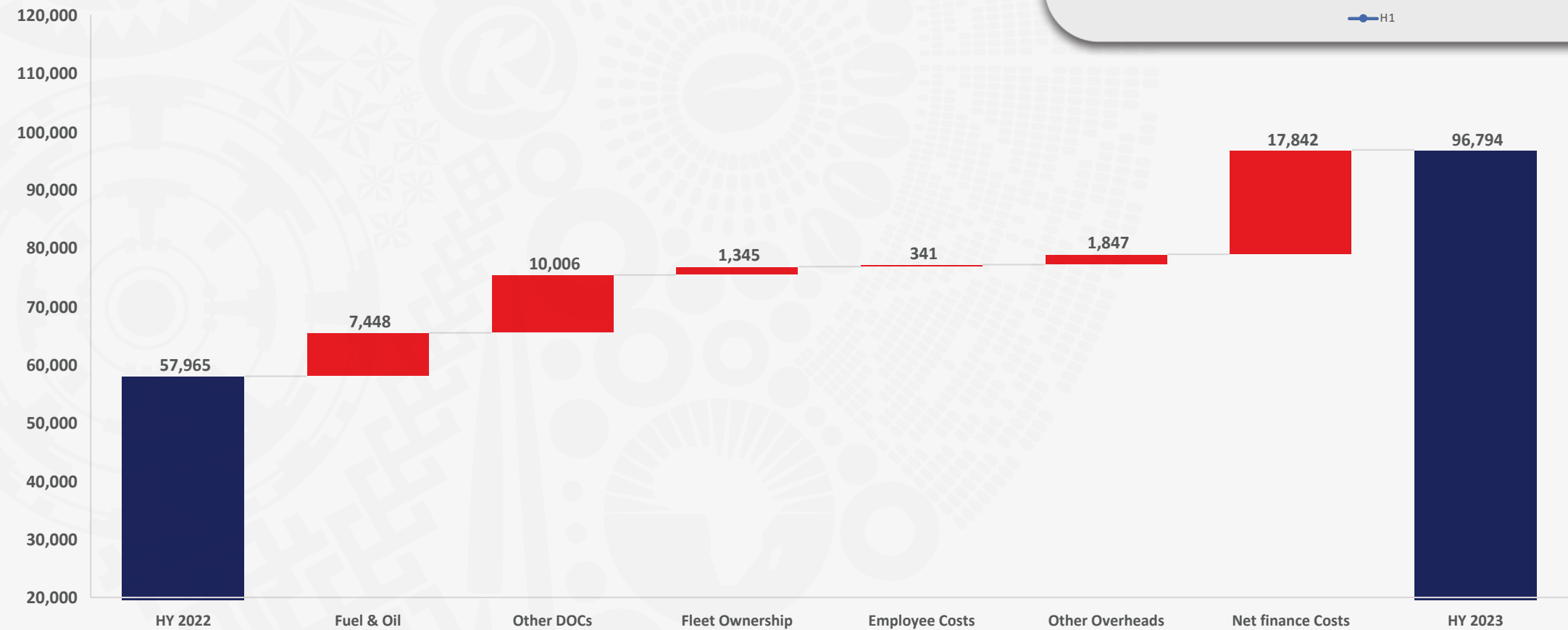
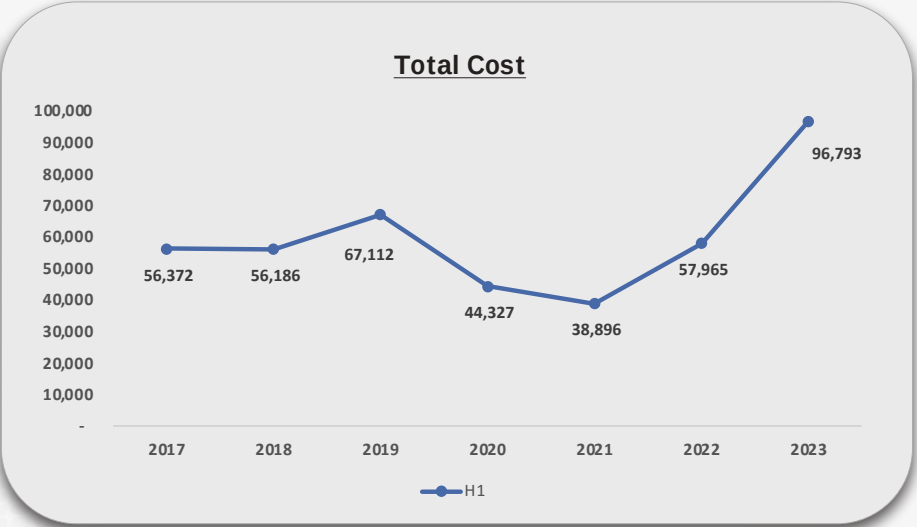
Hellen Mwariri
Chief Finance Officer



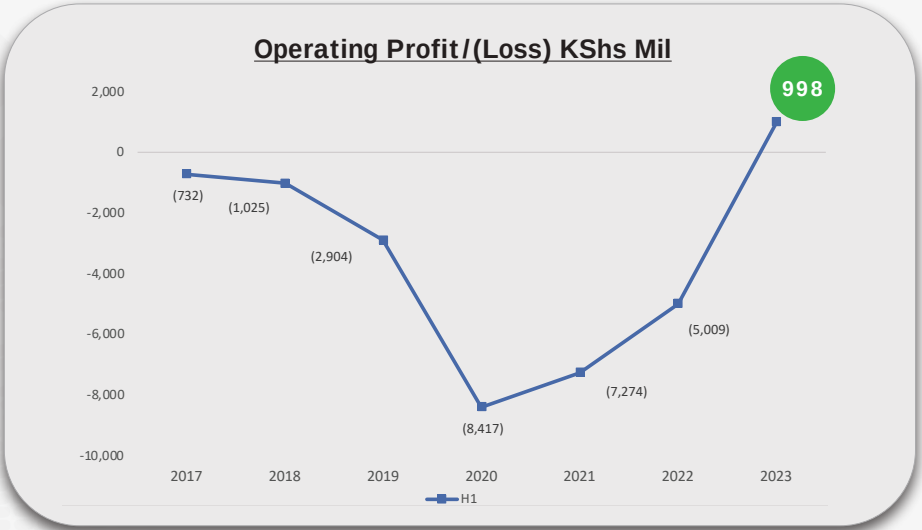
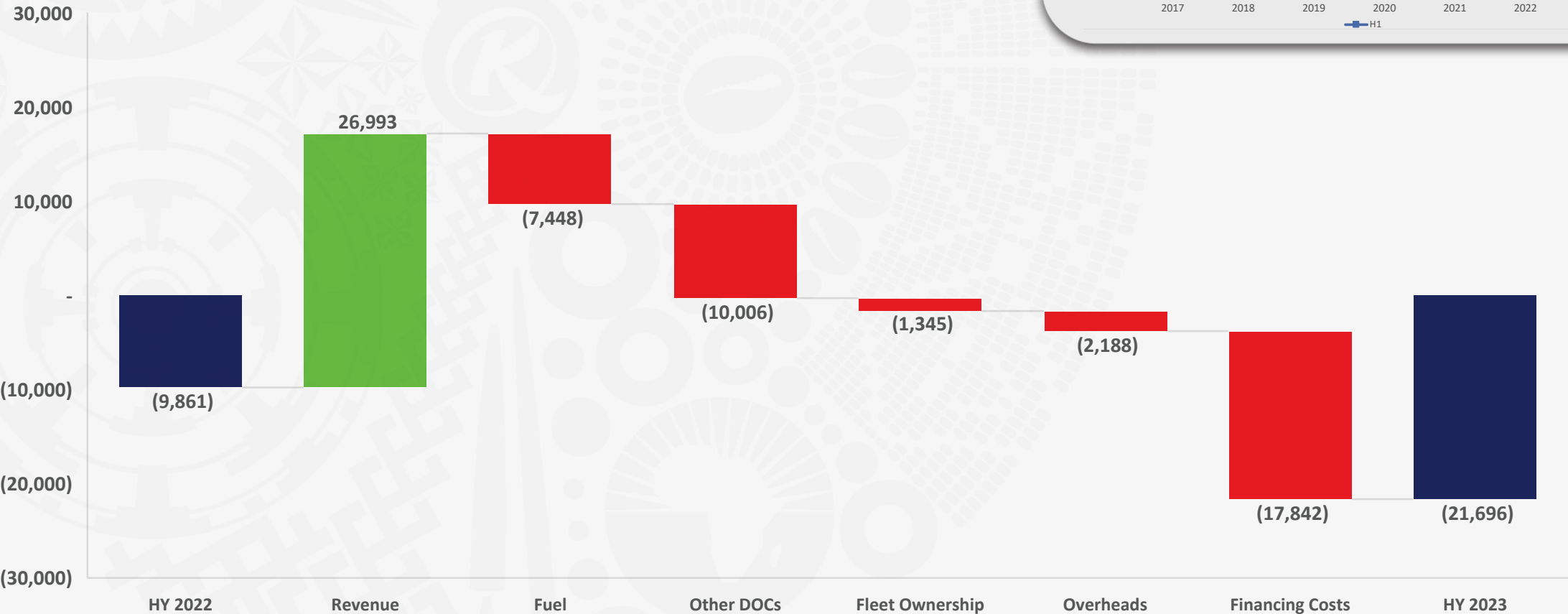
Financial Highlights



Cost Trend



Profit Trend



Summary of Consolidated Income Statement

	Jun-23 KShs. Mil	Jun-22 KShs. Mil	Delta
Total Income	75,097	48,104	56%
Total Operating Costs	(74,099)	(53,113)	-40%
Operating Profit (Loss)	998	(5,009)	120%
Operating Margin %	1.3	(10.4)	
Finance costs	(22,808)	(4,960)	-360%
Interest Income	114	107	-7%
Loss before Tax	(21,696)	(9,861)	-120%
Taxation	(7)	(24)	72%
Net loss after tax	(21,703)	(9,885)	-120%
Net Margin %	(28.9)	(20.6)	
EBITDAR Margin %	14.7	7.8	

Summary of Consolidated Statement of Financial Position

	Jun 2023 KShs M	Dec 2022 KShs M
Assets		
Non-current assets	119,938	127,241
Current assets	48,382	41,671
TOTAL ASSETS	168,320	168,912
EQUITY AND LIABILITIES		
Equity attributable to owners	(133,282)	(108,140)
Non-controlling interest	64	50
TOTAL EQUITY	(133,217)	(108,090)
Liabilities		
Non - current liabilities	176,755	159,728
Current liabilities	124,782	117,274
	301,537	277,002
TOTAL EQUITY AND LIABILITIES	168,320	168,912

Summary of Consolidated statement of Cash flow

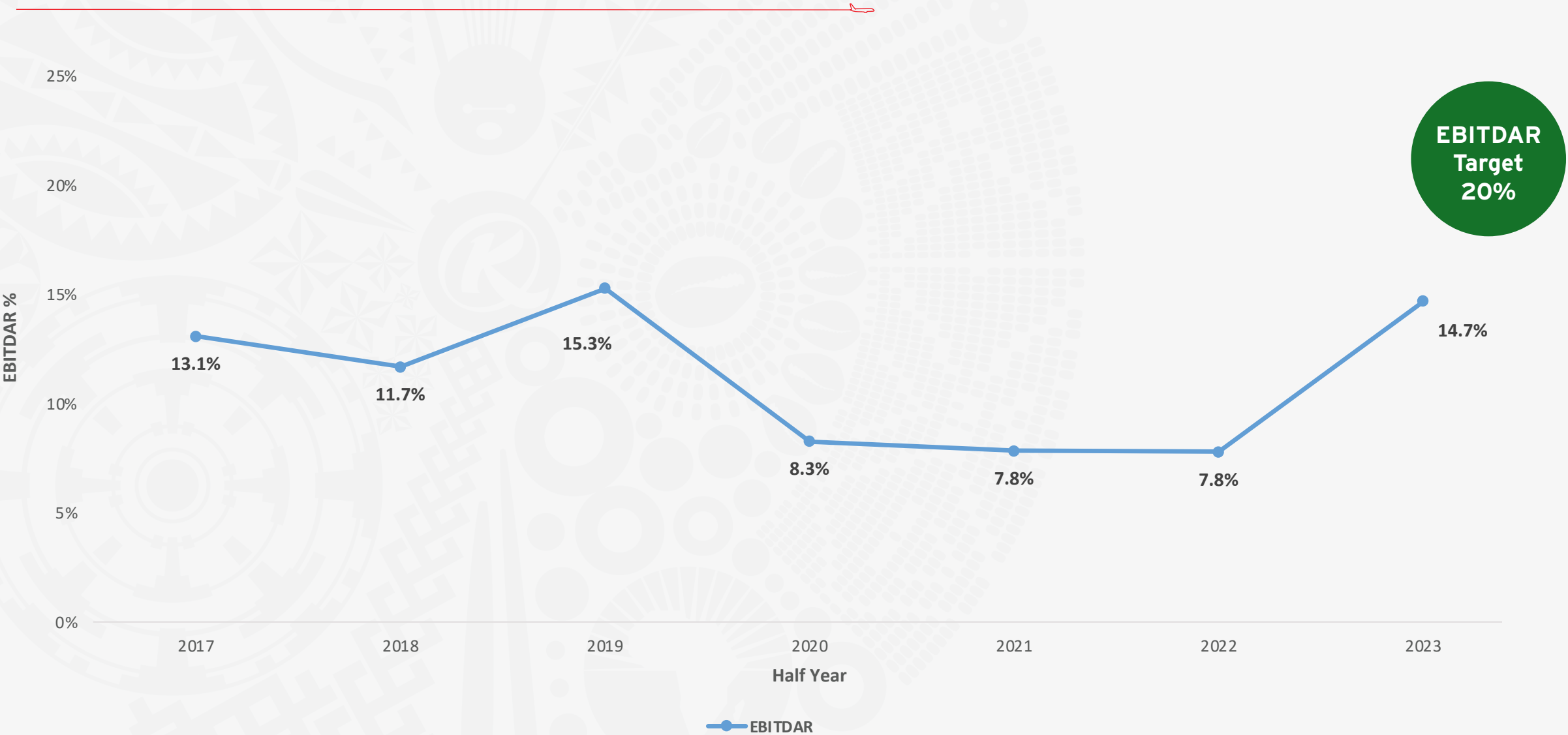
	Jun-2023 Ksh Mil	Jun-2022 Ksh Mil
Cashflows from operating activities		
Cash generated from operations	14,450	7,313
Interest Received	114	107
Interest Paid	(4,831)	(1,949)
Income Taxes Paid	(26)	(27)
Net cash generated from operating activities	9,707	5,444
Net cash used in investing activities	(2,799)	(7,512)
Net cash used in financing activities	(8,639)	5,845
(Decrease)/Increase in cash & cash equivalents	(1,731)	3,777
Cash & Cash equivalent at beginning	9,633	6,095
Cash & Cash equivalent at end	7,902	9,872



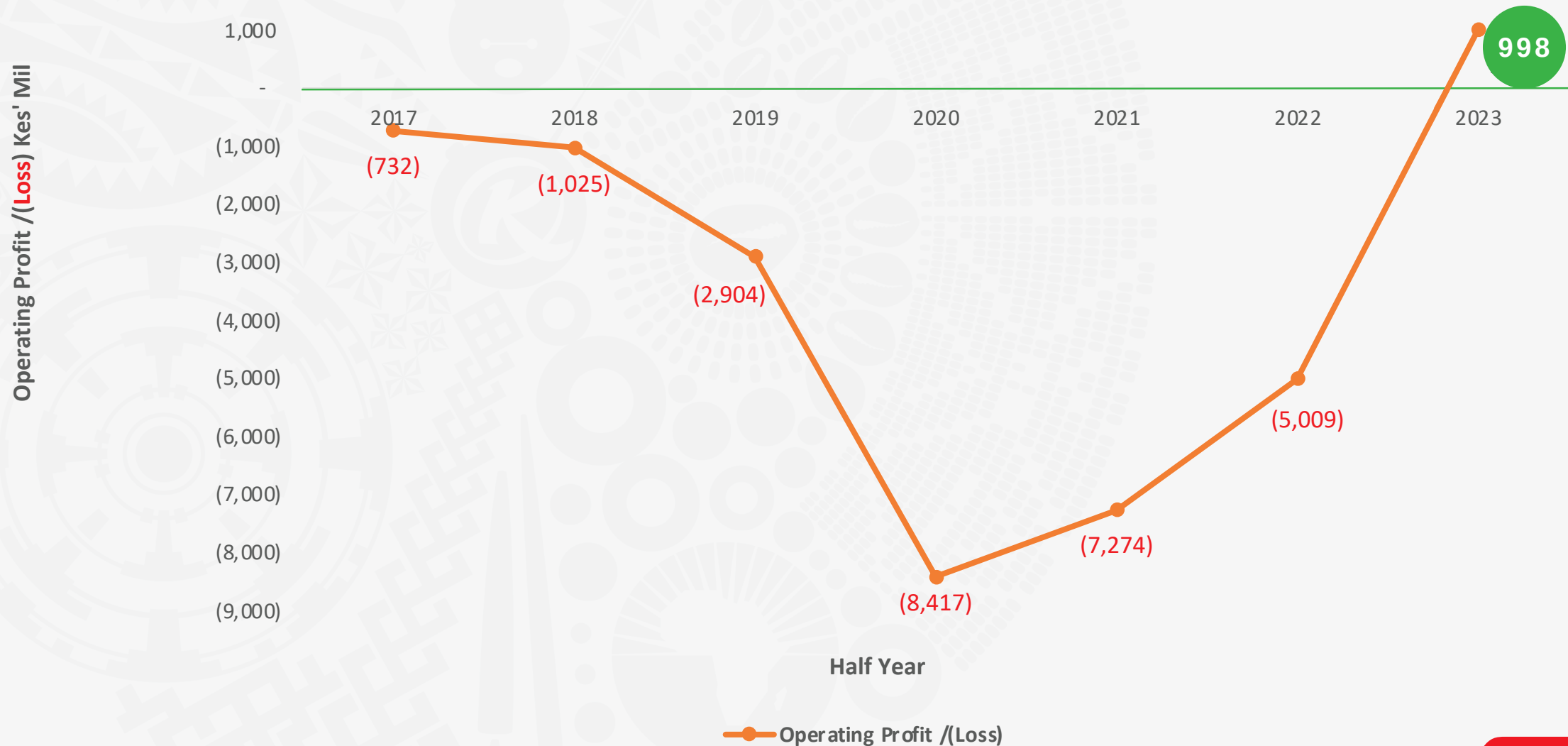
Mr. Allan Kilavuka
Group MD & CEO



KQ Group EBITDAR evolution



KQ Group Operating Profit/(Loss) trends



Future Outlook

Future Outlook

Expansion

- Fleet optimization
 - Additional Cargo freighter
- Jambojet fleet expansion
- Maintenance Repair Overhaul (MRO)
- Approved Training Organisation(ATO)



Recapitalization of the business



Diversification

- KQ Health expansion
- Fahari Aviation







Thank You